

SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF SAN MATEO

Law and Motion Calendar
Honorable Nicole S. Healy
800 N. Humboldt Street, San Mateo CA 94401
Department 28, Courtroom I
Wednesday, August 19, 2026

If you intend to appear on any case on this calendar, you must give notice by 4:00 pm the court day before the hearing pursuant to California Rules of Court, Rule 3.1308(a)(1), and San Mateo County L.R. 3.403(b).

Failure to comply with notice as outlined will result in no oral presentation.

Notice of Appearance and Courtesy Copies

1. Email Dept28@SanMateoCourt.org before 4:00 pm the court day before with a copy to all parties or their counsel of record. The email must include the name of the case, the case number, and the name of the party contesting the tentative ruling OR call (650) 261-5128 before 4:00 pm the court day before and follow the instructions on the message.
2. Courtesy Copies: You must email a copy of any reply brief, or an Opposition to a Motion for Summary Judgment in an Unlawful Detainer matter to:
LawAndMotionReplyBriefs@SanMateoCourt.org

Day of Hearing

Appearances can be In Person or Remote. If appearing remotely by Zoom, please use your first and last name and mute your audio until your case is called. All parties must use a device with a camera if you are appearing remotely. Please login to the zoom hearing by 1:50 pm.

EVERYONE APPEARING BY ZOOM MUST USE A CAMERA

RECORDING OF A COURT PROCEEDING IS STRICTLY PROHIBITED.

<https://sanmateocourt.zoomgov.com/> Meeting ID: 160 226 9361 Password: 289347

TO ASSIST THE COURT REPORTER, the parties are ORDERED to: (1) state their name each time they speak and only speak when directed by the Court; (2) not to interrupt the Court or anyone else; (3) speak slowly and clearly; (4) connect from a computer if at all possible, rather than a cell phone; (5) if a cell phone is absolutely necessary, the parties must be stationary and not driving or moving; (6) no speaker phones under any circumstances; (7) provide the name and citation of any cases referenced; and (8) spell all names, even common names.

Case

Title / Nature of Case

2:00 PM **LINE 1**

23-CIV-02437

SHAOLIN TAN VS. SABUHI PASHA, ET AL

SHAOLIN TAN
SABUHI PASHA

SAMUEL RAY
PRO PER

MOTION TO BE RELIEVED AS COUNSEL

TENTATIVE RULING:

The unopposed motion of Yakup Sari to be relieved as counsel of record for defendant Schildr Inc. is denied without prejudice for lack of proof that defendant was given proper notice of the motion. The Proof of Service indicates the motion was served on defendant by mail and electronically. California Rules of Court, rule 3.1362(d) provides that if the notice of motion is served by mail, it must be accompanied by a declaration stating that the service address is current or that it is the last known address and that counsel has been unable to locate a more current address despite reasonable efforts to do so within 30 days of filing the motion. If the notice is served electronically, it must be accompanied by a declaration stating the electronic address is current. Current is defined to mean that the address has been confirmed within 30 days before filing the motion.

The Sari declaration states that defendant was served by mail at its last known address and that this address was confirmed. However, it indicates that the method of confirmation was email. The fact that counsel sent an email to defendant does not confirm that the mailing address or electronic address is current.

Furthermore, the Proof of Service indicates the moving papers were served on March 23, 2026, the same day the motion was filed. However, the hearing date was changed at the time of filing. It is unclear whether the copy of the notice served was the original or amended version. To date, the court's record does not reflect the filing or service of an amended notice.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, Sari shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order *repeating verbatim the tentative ruling*" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 2**

24-CIV-04923

SUSAN CARROLL VS. ROBERT JOSEPH STEGER, ET AL

SUSAN CARROLL
ROBERT JOSEPH STEGER

QUINTON B. CUTLIP
STEFANIE DESALERNOS

DEFENDANT ROBERT STEGER'S MOTION FOR DETERMINATION OF GOOD FAITH SETTLEMENT CCP 877.6

TENTATIVE RULING:

The Motion for Good Faith Settlement, filed by defendant Robert Steger, is **DENIED without prejudice**.

Steger has not sufficiently set out facts that meet the standard for approval of a good faith settlement determination pursuant to Code of Civil Procedure, sections 877 and 877.6, and per the factors set out in *Tech-Bilt Inc. v. Woodward-Clyde & Assoc.* (1985) 38 Cal.3d 488, 499 (*Tech-Bilt*). The factors set out in *Tech-Bilt* require the court to consider:

1. A rough approximation of plaintiffs' total recovery and the settlor's proportionate liability,
2. the amount paid in settlement,
3. the allocation of settlement proceeds among plaintiffs, and
4. a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial,
5. the financial conditions and insurance policy limits of settling defendants, and
6. the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.

(*Tech-Bilt*, *supra*, 38 Cal.3d at p. 499.)

Steger has only addressed the question of the amount of available insurance coverage, explaining that the settlement is \$10 less than his policy limits. While that is a factor to be considered, it is not the sole factor. In particular, Steger has not supplied a "rough approximation of plaintiffs' total recovery and the settlor's proportionate liability."

Hoseley Corporation and the State of California oppose the motion, arguing that Steger has failed to supply sufficient evidence to permit the court to review the settlement.

The court requires additional information before it can make a good faith determination. In any future motion for good faith settlement determination, Steger should provide information and evidence regarding the application of the *Tech-Bilt* factors to the settlement.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, Hoseley Corporation's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order *repeating verbatim the tentative ruling*" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 3**

25-CIV-06776

JIPEI (JEFF) WANG, ET AL VS. BKF ENGINEERS, ET AL

JIPEI (JEFF) WANG
BKF ENGINEERS

JOHN F. DOMINGUE
SAMUEL Y. EDGERTON

DEMURRER TO PLAINTIFFS' COMPLAINT BY DEFENDANTS, BKF ENGINEERS, FKA BRIAN KANGAS FOULK, GREGORY HURD, DANIEL SCHAEFER, CHRISTOPHER RIDEOUT, ERIC GIROD, JAMES DALLOSTA, JEAN CHEN, BRIAN SCOTT, AND JASON WHITE

TENTATIVE RULING:

Defendants BKF Engineers, fka Brian Kangas Foulk (BKF), Gregory Hurd, Daniel Schaefer, Christopher Rideout, Eric Girod, James Dallosta, Jean Chen, Brian Scott, and Jason White's Demurrer to each cause of action in plaintiffs Jipei (Jeff) Wang and John Lamon's Complaint is **SUSTAINED with leave to amend** as to the individual defendants; and **SUSTAINED without leave to amend** as to the first cause of action for breach of fiduciary duty as against defendant BKF.

Any amended complaint must be filed within ten (10) days of notice of entry of the formal order.

Defendant BKF is an engineering firm, first formed in 1915. (Complaint, ¶ 14.) Plaintiffs Jipei Wang and John Lamon were employees of BKF for over 30 years. (*Id.*, ¶ 15.) At all relevant times, plaintiffs were non-voting Series B shareholders, each holding 208 shares of BKF stock. (*Id.*, ¶ 16.) Wang retired effective January 5, 2024, and Lamon retired effective March 31, 2024. (*Id.*, ¶ 15.) As shareholders, plaintiffs were each a party to the BKF Engineers' Amended and Restated Buy-Out Agreement dated November 27, 2023 (Buyout Agreement). (*Id.*, ¶ 17.)

Plaintiffs allege that beginning in early 2023, BKF began communicating with a private equity firm, Long Point Capital, regarding the possible acquisition of the company. (Complaint, ¶ 26.d.) BKF began receiving letters of interest from potential acquirors in mid-2023. (*Ibid.*) On November 15, 2023, BKF received a nonbinding letter of intent from Long Point. (*Id.*, ¶ 26.e.) BKF received a second nonbinding letter of intent from Long Point on March 5, 2024. ((*Id.*, ¶ 26.f.) Long Point formed an acquiring entity in July 10, 2024, and the merger closed on August 23, 2024. (*Id.*, ¶¶ 26.h, i.)

Upon their respective retirements, plaintiffs Wang and Lamon each received repayment promissory notes in the principal amount of \$191,403.68 for their respective 208 shares of BKF, at a repurchase price of \$920.21 per share. Plaintiffs allege that the defendants concealed the merger discussions from them, and that they would have received significantly more value per share under the terms of the sale had they waited to retire. Plaintiffs further allege the language

in the Buyout Agreement “reasonably implied that BKF Engineers, in good faith, would not seek or approve a sale of all company stock to a third party investor.” (Complaint, ¶¶ 15, 41.)

A. First Cause of Action for Breach of Fiduciary Duty

1. Duty to Disclose – Individual Defendants

The elements of a cause of action for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) breach of fiduciary duty, and (3) resulting damages. (*Oasis W. Realty, LLC v. Goldman* (2011) 51 Cal.4th 811.) Plaintiffs allege that defendants concealed material information about the potential merger which, if completed, would have increased the value of their Class B shares.

Defendants argue that this cause of action fails because there is no duty to disclose preliminary merger discussions, relying on *Eldridge v. Tymshare, Inc.* (1986) 186 Cal.App.3d 767 (*Eldridge*). Plaintiffs maintain that *Eldridge* is inapplicable to a closely held corporation because that case dealt with a corporation that was listed on the New York Stock Exchange. Defendants respond that *Eldridge* is applicable to a closely held corporation, pointing to the holding that “as a matter of law corporate directors are under no duty to make a public disclosure of merger negotiations until an agreement in principle has been reached.” (Reply, at p. 3:7-9, quoting *Eldridge, supra*, at p. 773.)

Plaintiffs have not identified any controlling authority that precludes the application of *Eldridge* to a closely-held corporation. Further, although directors of a closely-held corporation owe fiduciary duties to minority shareholders (*Singhanian v. Uttarwar* (2006) 136 Cal. App. 4th 416), they owe those duties to all shareholders equally, and not solely to those, like plaintiffs, considering retirement.

Plaintiffs cite the “special facts” doctrine, which provides that the rule of ‘good faith and inherent fairness’ to minority shareholders applies to officers, directors, and controlling shareholders who seek to gain an advantage in the sale or transfer of their controlling block of shares. (*Jones v. H. F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 110 (*Jones*).) *Jones* involved a squeeze-out in which the controlling shareholders exchanged their shares with another company, receiving a controlling block of stock for which they created a valuable public market, excluding the plaintiff and other minority shareholders from this opportunity. “The rule that has developed in California is a comprehensive rule of ‘inherent fairness from the viewpoint of the corporation and those interested therein. . . . The rule applies alike to officers, directors, and controlling shareholders in the exercise of powers that are theirs by virtue of their position and to transactions wherein controlling shareholders seek to gain an advantage in the sale or transfer or use of their controlling block of shares.” Plaintiffs have not alleged that the directors controlled BKF’s shares, nor what Class or number of shares each director held. Nor have they pled any details concerning the role and knowledge of each director with respect to the merger negotiations.

Plaintiffs also cite *Hobart v. Hobart Estate Co.* (1945) 26 Cal.2d 412, which applies the “special facts” doctrine to fraudulent inducement claims by a shareholder. Hobart states that “[i]t would be illogical to impose liability for silence while excusing deliberate false representations, and it follows that the officer owes a duty of complete honesty in any disclosure which he makes, . . .” (*Id.*, at p. 433; see also *Taylor v. Wright* (1947) 69 Cal.App.2d 371, 381, cited by plaintiffs and holding that directors who secretly acquired stock from minority shareholder had a duty to disclose facts including regarding the actual value of the stock.) The duty to disclose is discussed at Section C, below.

Here, plaintiffs have not pled facts showing that the majority shareholders and/or the directors schemed to advantage themselves, and possibly other Class A shareholders, to the detriment of Class B shareholders or other minority shareholders including plaintiffs. Indeed, they allege that, following the acquisition “all of the Directors, most of them Class “A” shareholders, received a significantly higher payout” than plaintiffs. (Complaint, ¶ 28.) The complaint is unclear as to who the Class A and other Class B shareholders were, and how that affected the merger negotiations.

Finally, plaintiffs have not address whether they contend BKF’s directors should have disclosed the negotiations with Long Point to plaintiffs, for example, by telling them not to retire for months after they actually did, without breaching their fiduciary duties to BKF and the other shareholders.

Accordingly, as to the individual defendants, therefore, this cause of action is **SUSTAINED with leave to amend.**

2. Fiduciary Duty - BKF

Plaintiffs had pled their cause of action for breach of fiduciary duty against all defendants. Defendants argue that BKF, as a corporate entity, does not owe any fiduciary duty. Officers, directors, and controlling shareholders owe a fiduciary duty to the corporation and its other shareholders. (See *Jones v. H. F. Ahmanson & Co.*, (2009) 1 Cal. 3d 93; *Berg & Berg Enters., LLC v. Boyle* (2009) 178 Cal. App. 4th 1020.) No authority holds that a corporate entity itself owes a fiduciary duty to shareholders under California law.

The Demurrer is therefore **SUSTAINED without leave to amend** as to this cause of action as alleged against the corporate defendant, BKF Engineers.

B. Second Cause of Action for Breach of Covenant of Good Faith and Fair Dealing

Under California law, the implied covenant of good faith and fair dealing is implied into every contract. To prevail on a claim for breach of this covenant, a plaintiff must plead and prove six essential elements: (1) the existence of a contract between plaintiff and defendant; (2) plaintiff’s performance of all or substantially all contractual obligations, or excuse for nonperformance; (3) that all conditions required for defendant’s performance occurred or were excused; (4) that defendant’s conduct prevented plaintiff from receiving the benefits under the

contract; (5) that defendant did not act fairly and in good faith; and (6) that defendant's conduct harmed plaintiff. (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371; *Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230.)

Defendants argue that this cause of action fails because plaintiffs complain of the sale of BKF to a third party, which is conduct that is expressly allowed by the Buyout Agreement. Defendants further argue that plaintiffs have not alleged a breach of the terms of the Buyout Agreement is evidence of the weakness of this claim, however, a cause of action for breach of the covenant of good faith and fair dealing is independent of one for breach of contract. "If there exists a contractual relationship between the parties, as was the case here, the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie Ltd v. Dept. of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1032.)

The terms of the Buyout Agreement, insofar as they are alleged in the Complaint, do not "expressly" allow for the sale of BKF to a third party. Rather, plaintiffs allege the language in the Buyout Agreement "reasonably implied that BKF Engineers, in good faith, would not seek or approve a sale of all company stock to a third party investor." (Complaint, ¶¶ 15, 41.)

Plaintiffs have not attached the Buyout Agreement to the Complaint, which is incorporated into the Complaint by reference. And although defendants attached the plaintiffs' 2023 Buyout Agreements to their meet and confer declaration, they did not seek judicial notice of the agreements. (See Complaint, ¶¶ 17-24, 39-41; Declaration of Arman Mashoof, exh. 1, and exhs, B&C thereto.) Neither party addressed the Buyout Agreement in any detail.

However, even the Buyout Agreement provisions cited by plaintiffs in support of their claim that BKF impliedly agreed not to sell to a third party, do not actually support that contention.

Instead, they read as follows:

It is the desire of the parties hereto to assure the continuity of the present successful and harmonious management of Corporation. Shareholders recognize that to accomplish such objective they should restrict the transfer of the stock of Corporation and should provide a program for the repurchase of the stock of Corporation owned by a Shareholder in the event of Shareholder's death, permanent disability, or other termination of Shareholder's employment with Corporation.

It is further the desire of the Shareholders to restrict the ownership of the stock of Corporation to active management and associate employees of the Corporation and to provide a means of selling stock to other key employees of the Corporation.

(Complaint, ¶¶ 17.C, D.)

Those provisions are not promises, they are expressions of “desire.” Moreover, they limit the sale of shares by shareholders, and not the sale of the entire company to a third party.

Accordingly, the Demurrer to this cause of action is therefore **SUSTAINED with leave to amend.**

C. Third Cause of Action for Fraud and Deceit – Suppression of Fact

To prevail on a cause of action for fraud and deceit based on suppression of fact, a plaintiff must establish five elements: “(1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*); Civ. Code, § 1709.)

Defendants argue that they owed no duty of disclosure to plaintiffs as a matter of law. Plaintiffs have not alleged that defendants made partial disclosures, which would have triggered an obligation to make a full and fair disclosure of the preliminary merger negotiations. The “rule has long been settled in this state that although one may be under no duty to speak as to a matter, ‘if he undertakes to do so, either voluntarily or in response to inquiries, he is bound not only to state truly what he tells, but also not to suppress or conceal any facts within his knowledge which materially qualify those stated. If he speaks at all, he must make a full and fair disclosure.’” (*Rogers v. Warden* (1942) 20 Cal.2d 286, 289; see *Marketing West v. Sanyo Fisher (USA) Corp.* 6 Cal.App.4th 603, 613; see also *Zinn v. Ex-Cell-O Corp.* (1957) 148 Cal.App.2d 56, 68-69 [“Mere nondisclosure of facts is ordinarily not enough to constitute fraud, but it may be actionable under certain circumstances. One situation is where the defendant, who has no duty to speak, nevertheless does so. In such a case he is bound to speak truthfully and to speak the whole truth.”].)

Defendants next argue that plaintiffs have not pled facts in support of their fraud claim with the requisite specificity. For fraudulent concealment claims, courts recognize that a key inquiry is whether the defendant, in undertaking to disclose information, intentionally concealed material terms from plaintiff so they would proceed with a transaction. (*Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 294 [“In some but not all circumstances, an independent duty to disclose is required; active concealment may exist where a party ‘[w]hile under no duty to speak, nevertheless does so, but does not speak honestly or makes misleading statements or suppresses facts which materially qualify those stated.’”], citation omitted.)

Plaintiffs point to their allegations that defendants concealed the fact that the company was being sold to a third-party investor; the Buyout Agreement’s purported objective that the company would not be sold to a third party; and that the shareholders had previously agreed, in connection the 2015, 2019, 2023, Buyout Agreements, and in 2018-2019 meetings, to undervalue

their own stock for the longterm benefit of the company. (See, e.g., Complaint ¶¶ 17, 22-23, 45.)

Defendants also argue that plaintiffs have not alleged that they were induced to retire. Plaintiffs contend that defendants kept the intention to sell and the negotiations to sell BKF secret knowing “that Plaintiffs reasonably would rely on the recitals to the [Buyout Agreement], the company’s long-standing policy of restricting any stock sales to outside parties, and the mutually understood good-faith purpose of keeping share repurchase prices low for the benefit of the company, and ... that disclosing to Plaintiffs the potential for an imminent third-party stock sale would likely cause them to delay their retirements and receive a greater price per share commensurate with market value...” (Complaint, ¶ 28.) Although plaintiffs refer to the acquisition as “imminent,” BKF received nonbinding letters of intent from Long Point on November 15, 2023, and March 5, 2024 (*id.*, ¶¶ 26.g.f.) and the deal did not close until August 23, 2024. (*Id.*, ¶ 26.i.) Even based on this bare-bones discussion of the merger negotiations, and without any detailed discussion of the deal points or contingencies, it is difficult to see that the merger was “imminent” when either plaintiff retired.

The demurrer to this cause of action is **SUSTAINED with leave to amend.**

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendants’ counsel shall prepare a written order consistent with the court’s ruling for the court’s signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the “prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 4**

25-CIV-09498

TEERUN M. TEYMOORIAN VS. TESLA, INC.

TEERUN M. TEYMOORIAN
TESLA, INC., A TEXAS CORPORATION

MICHAEL H ROSENSTEIN
ALI AMERIPOUR

DEFENDANT TESLA, INC.'S MOTION TO COMPEL BINDING ARBITRATION

TENTATIVE RULING:

Defendant Tesla Inc.'s unopposed motion to compel plaintiff Teerun M. Teymoorian to arbitrate the claims asserted against defendant in plaintiff's complaint filed December 3, 2025 is **GRANTED**.

Defendant's request to stay the proceedings pending resolution of arbitration is **GRANTED**. (Code Civ. Proc., § 1281.4.) Defendant's request for judicial notice of the complaint is **GRANTED**. (Evid. Code, § 452, subd. (d).)

A. Background

This is a Song-Beverly Act action regarding plaintiff's lease of a 2023 Tesla Model Y on September 9, 2023. (Declaration of Raymond Kim, ¶ 3, exh. 1.) The complaint alleges the car had serious electrical and electronic component defects, interior and exterior defects, and HVAC defects. Defendant filed this motion for an order (i) compelling plaintiff Teerun M. Teymoorian to arbitrate the claims asserted in the complaint in accordance with their arbitration agreement with Tesla; and (ii) staying this action pending the outcome of arbitration. Plaintiff has not filed an opposition brief.

B. Legal Standard

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

- (a) The right to compel arbitration has been waived by the petitioner; or
- (b) Grounds exist for rescission of the agreement.

(Code Civ. Proc., § 1281.2)

"California has a strong public policy in favor of arbitration . . . 'This strong policy has resulted in the general rule that arbitration should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute.'"

(*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686, internal quotations omitted.)

“The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) “This initial burden may be met with a copy of the arbitration agreement.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group, June 2025 Update) ¶ 9:407.5.) The court must then determine whether the parties actually agreed to arbitrate the dispute. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.) The court adheres to general principles of California contract law in making this determination. (*Ibid.*) The court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc. § 1281.2; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219.)

C. Discussion

Here, the Declaration of Raymond Kim, a Business Resolution Manager at Tesla, Inc., set out the language of the arbitration clause in the parties’ lease agreement. (Kim Decl. ¶ 8, and exh. 1 [lease agreement].) The arbitration clause is clearly titled “Agreement to Arbitrate” in bold face type and emphasized by a border around the entire clause. (See *id.*, exh. 1, ¶ 33.) The pertinent text reads:

33. Agreement to Arbitrate. Please carefully read this provision, which applies to any dispute between you and Tesla, Inc. and its affiliates (together “Tesla”).

If you have a concern or dispute, please send a written notice describing it and your desired resolution to resolutions@tesla.com.

If not resolved within 60 days, you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (“AAA”) under its Consumer Arbitration Rules. This includes claims arising before this Agreement, such as claims related to statements about our products. You further agree that any disputes related to the arbitrability of your claims will be decided by the court rather than an arbitrator, notwithstanding AAA rules to the contrary.

To initiate the arbitration, you will pay the filing fee directly to the AAA and we will pay all the subsequent AAA fees for the arbitration, except you are responsible for your own attorney, expert, and other witness fees and costs unless otherwise provided by law. If you prevail on any claim, we will reimburse you your filing fee.

The arbitration will be held in the city or county of your residence. To learn more about the Rules and how to begin an arbitration, you may call any AAA office or go to www.adr.org.

The arbitrator may only resolve disputes between you and Tesla and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others purchasing or leasing Tesla vehicles. In other words, you and Tesla may bring claims against the other only in your or its individual capacity and not as a plaintiff or class member in any class or representative action. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy (such as injunctive or declaratory relief), then that claim or remedy (and only that claim or remedy) shall be severed and must be brought in court and any other claims must be arbitrated.

If you prefer, you may instead take an individual dispute to small claims court.

You may opt out of arbitration within 30 days after signing this Agreement by sending a letter to: Tesla, Inc.; P.O. Box 15430; Fremont, CA 94539-7970, stating your name, Order Number or Vehicle Identification Number, and intent to opt out of the arbitration provision. If you do not opt out, this agreement to arbitrate overrides any different arbitration agreement between us, including any arbitration agreement in a lease or finance contract.

(Kim Decl., exh. 1, ¶ 33, emphasis added.)

Mr. Kim's declaration states Tesla did not receive an opt-out letter from plaintiff in accordance with the opt out portion of the arbitration clause. (Kim Decl., ¶ 9.) Mr. Kim also searched Tesla's opt-out [records] but did not find a letter from plaintiff. (*Ibid.*) In his declaration, defendant's counsel Ali Ameripour states that his office asked plaintiff to stipulate to arbitration pursuant to this clause on March 19, 2026 but plaintiff had not yet agreed to do so. Notably, plaintiff did not oppose this motion.

A review of the agreement's terms and the declarations filed in support, demonstrates that defendant has met its burden to prove the existence of a valid arbitration agreement by a preponderance of the evidence and plaintiff has not carried their burden to oppose the motion. Accordingly, pursuant to the unambiguous language of Code of Civil Procedure, section 1281.2 the defendant's petition is **GRANTED**.

The parties are ordered to arbitration, and the matter is stayed pending the resolution of the arbitration proceedings. (Code Civ. Proc., § 1281.4.)

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendant's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in

part that the “prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 5**

25-CLJ-01541

TOKUKO SYLVESTER VS MARC KUNZE, ET AL.

TOKUKO SYLVESTER
MARC KUNZE

PRO PER
CHARLES J. SMITH

DEFENDANTS' DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT

TENTATIVE RULING:

For the reasons stated below, defendants Marc and Amanda Kunze's Demurrer to plaintiff Tokuko Sylvester's May 4, 2026 Second Amended Complaint (SAC) is **SUSTAINED WITHOUT LEAVE TO AMEND** as to all asserted claims. (Code Civ. Proc. § 430.10, subd. (e).)

Although leave to amend is liberally allowed, such leave should not be granted where, in all probability, amendment would be futile. (*Foroudi v. Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1001.) It is the burden of the party seeking leave to amend to show the possibility that amendment can cure the legal defects of the pleading. (*A.J. Fistes Corp. v. GL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 687 (*A.J. Fistes*).)

If plaintiff seeks leave to amend, she should properly contest the tentative ruling and appear at the hearing (in person or via Zoom) to state facts that provide a reasonable possibility that she can state a cause of action as to the violations alleged.

A. Background

As alleged in her SAC, plaintiff Tokuko Sylvester is the former landlord of defendants Marc and Amanda Kunze. For about three years, defendants leased a rental unit from plaintiff in Pacifica, California. Defendants vacated the property on May 31, 2021. Plaintiff contends that after defendants moved out, she discovered that they had damaged several items in the rental unit, which she repaired or replaced at some expense. Plaintiff filed her initial Complaint on February 27, 2025; a First Amended Complaint on March 11, 2025; and the operative Second Amended Complaint on May 4, 2026. The SAC alleges that defendants damaged several items and appliances in the rental unit, including a dishwasher, a kitchen faucet, and a garbage disposal.

The court previously granted defendants' motion for judgment on the pleadings which was directed to plaintiff's FAC. (April 15, 2026 Order.) Plaintiff's SAC asserts the following causes of action: (1) intentional infliction of emotional distress (IIED); (2) fraud; (3) elder abuse; (4) negligence; and (5) "neglect." Defendants again demur to all asserted claims.

B. Legal standard

"[I]t is well settled that a general demurrer admits the truth of all material factual allegations in the complaint [citation]; that the question of plaintiff's ability to prove these

allegations, or the possible difficulty in making such proof does not concern the reviewing court [citations]; and that plaintiff need only plead facts showing that he may be entitled to some relief [citation].” (*John’s Grill, Inc. v. The Hartford Financial Services Group, Inc.* (2024) 16 Cal.5th 1003, 1013 (*John’s Grill*), quoting *Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496 (*Alcorn*).)

A court reviewing a demurrer accepts as true the facts alleged in the complaint as well as those of which it may take judicial notice (*John’s Grill, supra*, 16 Cal.5th at p. 1008, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)), but does not “assume the truth of contentions, deductions or conclusions of law.” (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967 (*Aubry*).) The complaint is construed liberally (Code Civ. Proc., § 452), and facts that may be inferred from those expressly alleged must also be accepted as true. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.)

To properly state a cause of action, a complaint must allege every element of that cause of action. (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1134.) And to be sustained, a “demurrer must dispose of an entire cause of action.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

“[I]t is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (*Aubry, supra*, 2 Cal.4th at p. 967.) Leave to amend should not be granted where, in all probability, amendment would be futile. (*Foroudi, supra*, 57 Cal.App.5th at p. 1001.) The party seeking leave to amend has the burden of demonstrating the possibility that amendment can cure the legal defects of the pleading. (*A.J. Fistes, supra*, 38 Cal.App.5th at p. 687.)

Discussion

The Demurrer is **SUSTAINED** as to the intentional infliction of emotional distress (IIED) cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

Pleading an IIED claim requires factual allegations showing that the defendant(s) engaged in “extreme and outrageous” conduct. (CACI 1600.) To be “extreme and outrageous,” the alleged conduct must be “so extreme as to exceed all bounds of that usually tolerated in a civilized community.” (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1051, cleaned up and citation omitted.) “Liability for intentional infliction of emotional distress “does not extend to mere insults, indignities, threats, annoyances, petty oppressions, or other trivialities.” (*Ibid.*, citing Rest. 2d Torts, § 46, com. d.)

While the court is sympathetic to plaintiff’s situation, and agrees with plaintiff’s argument that different people and cultures may disagree about what constitutes “extreme and outrageous” conduct, the court does not agree that the SAC’s allegations, reasonably construed, can sustain an IIED claim. The SAC does not allege that the defendants intentionally caused any damage to plaintiff’s property, nor does it allege that defendants took any of plaintiff’s property for their benefit. Rather, it alleges that defendants unintentionally damaged some items and appliances during their tenancy, that they attempted some repairs without plaintiff’s written consent, and that

they did not fully disclose the property damage, and instead characterized it as “normal wear and tear.” Reasonably construed, these allegations do not rise to the level of “extreme and outrageous” conduct necessary to support an IIED claim.

Further, and independently, the IIED cause of action has a two-year statute of limitations. (Code Civ. Proc., § 335.1; *Wassmann v. South Orange County Community College Board* (2018) 24 Cal.App.5th 825, 852-853.) The two-year statute of limitations has run as to the IIED claim, for the reasons discussed below under the “negligence” cause of action.

The Demurrer is **SUSTAINED** as to the “fraud” cause of action. (Code Civ. Proc. § 430.10, subd. (e).)

Fraud comes in many forms, including fraud by intentional misrepresentation (CACI 1900), and fraud by concealment (CACI 1901). Regardless of the type of fraud alleged, a fraud claim must be pled with specificity. “In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 (*Lazar*).) “[T]he policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect.” [Citation.] [¶] This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Ibid.*, quoting *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73, cleaned up and further citations omitted in original.)

The pleading must contain enough information to show: (1) a false representation or concealment of material fact; (2) knowledge of the falsity; (c) intent to defraud to induce reliance; (4) justifiable reliance; and (5) damage based on that reliance. (*Philipson & Shnon v. Gulsvig* (2007) 154 Cal.App.4th 347, 363.)

The SAC does not sufficiently plead a claim for fraud by intentional misrepresentation, for multiple reasons. (CACI 1900.) First, it does not identify any misrepresentation of fact. It only alleges that defendants mischaracterized the damage to the rental unit as “normal wear and tear” (SAC, at pp. 2-4; 8), even though the damage, according to plaintiff, was more significant than normal wear and tear. (*Ibid.*) Defendants’ characterization of the property condition as “normal wear and tear” constitutes their opinion rather than a misrepresentation of an existing fact. Further, even if defendants’ alleged statement could be viewed as a misrepresentation of fact, it is not plead with specificity, because the SAC does not specify who, that is, which of the defendants, made this statement, or when, how, where, to whom it was made. (*Lazar, supra*, 12 Cal.4th at p. 645.)

Further, and independently, plaintiff’s fraud claim, whether by intentional misrepresentation or concealment, is time-barred. (Code Civ. Proc., § 338, subd. (d).) (See discussion, below, under the “negligence” cause of action.) Plaintiff’s own pleadings establish that plaintiff discovered the essential facts concerning defendants’ alleged fraud, including any alleged concealment of property damage, very shortly (within about a month) after defendants

vacated the unit on May 31, 2021. Because plaintiff did not file her initial Complaint until February 27, 2025, the three-year statute of limitations has run as to the fraud claim.

The Demurrer is **SUSTAINED** as to the “elder abuse” cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

The SAC alleges “financial elder abuse,” which is governed by Welfare & Institutions Code, section 15610.30, which states:

- (a) ‘Financial abuse’ of an elder or dependent adult occurs when a person or entity does any of the following:
 - (1) Takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.
 - (2) Assists in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.
 - (3) Takes, secretes, appropriates, obtains, or retains, or assists in taking, secreting, appropriating, obtaining, or retaining, real or personal property of an elder or dependent adult by undue influence, as defined in Section 15610.70.

The statute addresses the taking of an elder’s property “for a wrongful use or with intent to defraud.”

Reasonably construed, the SAC does not allege financial elder abuse. The SAC alleges that defendants unintentionally caused damage to several items and/or appliances before they vacated the rental unit, that they improperly tried to repair some of the items, and failed to fully disclose some of the damage to plaintiff. Specifically, the SAC alleges that defendants damaged and/or did not properly repair a dishwasher, a garbage disposal, and a faucet. Section 15610.30 targets the wrongful taking of an elder’s property for the defendant’s own benefit — not the incidental alteration of, or repairs to, or damage to leased property during a tenancy.

Plaintiff’s SAC suggests (without directly alleging) that defendants may have removed and/or replaced parts of some appliances during their repair attempts. (SAC, at pp. 2, 8.) But the SAC does not clearly identify any specific item that defendants allegedly removed from the property. Further, by any objective reading, replacing parts of an appliance as part of an attempted repair cannot be reasonably be viewed as misappropriating or stealing plaintiff’s property for defendants’ benefit. Reasonably construed, the SAC contains no allegations that defendants took or appropriated plaintiff’s property “for a wrongful use or with intent to defraud.”

Nor can a dispute about the return of a security deposit be reasonably viewed as an appropriation or taking of plaintiff’s property.

Accordingly, the alleged conduct does not fall within the elder abuse statute.

The Demurrer is **SUSTAINED** as to the “negligence” cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

On its face, the statute of limitations has run on plaintiff’s negligence claim. A negligence claim based on alleged property damage is governed by a three-year statute of limitations. (Code Civ. Proc., § 338.) Plaintiff alleges that defendants’ lease ended on May 31, 2021, and they vacated the property on that date. Plaintiff filed her initial Complaint on February 27, 2025, about three years and eight months later. In opposing the demurrer, plaintiff invokes the “delayed discovery” rule, arguing that her claims did not accrue until after defendants had vacated, when she learned the full extent of the damage they had done to her property.

A complaint that shows on its face, or from matters subject to judicial notice, that it is barred by the statute of limitations is subject to demurrer. (*Minton v. Cavaney* (1961) 56 Cal.2d 576, 581.) On demurrer, the running of the statute must appear “clearly and affirmatively” from the face of the complaint (or from matters subject to judicial notice). It is not enough that the complaint *might* be time-barred. (*Committee for Green Foothills v. Santa Clara County Board of Supervisors* (2010) 48 Cal.4th 32, 42.)

“Generally speaking, a cause of action accrues at the time when the cause of action is complete with all of its elements.” (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal. 4th 797, 806–807.) “An important exception to the general rule of accrual is the ‘discovery rule,’ which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action.” (*Ibid.*) “A plaintiff has reason to discover a cause of action when he or she ‘has reason at least to suspect a factual basis for its elements.’” (*Ibid.*, citing *Gutierrez v. Mofid* (1985) 39 Cal.3d 892, 897 [“the uniform California rule is that a limitations period dependent on discovery of the cause of action begins to run no later than the time the plaintiff learns, or should have learned, the *facts* essential to his claim”].) “Under the discovery rule, suspicion of one or more of the elements of a cause of action, coupled with knowledge of any remaining elements, will generally trigger the statute of limitations period.” (*Ibid.*) “[B]y discussing the discovery rule in terms of a plaintiff’s suspicion of ‘elements’ of a cause of action, it was referring to the ‘generic’ elements of wrongdoing, causation, and harm.” (*Ibid.*) “In so using the term ‘elements,’ we do not take a hypertechnical approach to the application of the discovery rule. Rather than examining whether the plaintiffs suspect facts supporting each specific legal element of a particular cause of action, we look to whether the plaintiffs have reason to at least suspect that a type of wrongdoing has injured them.” (*Ibid.*)

Here, plaintiff’s own pleading establishes that her negligence claim accrued shortly after defendants vacated the property. In her SAC and in the Exhibits attached thereto, plaintiff makes clear that very shortly after defendants vacated on May 31, 2021, she and Mr. Rosson (the former co-owner) inspected the unit and discovered property damage that plaintiff believed defendants had caused, and in part, had attempted to conceal. The SAC alleges, in part:

The defendants' tenancy ended on May 31, 2021. *The plaintiff discovered extensive damages in the rental unit.* The dishwasher, kitchen faucet, and garbage disposal were broken and there were damages to the floor and the cabinets

[Plaintiff] found water leakage from the garbage disposal. She also noticed the low part of the kitchen counter side panel expanded in size. It looked like the side panel absorbed water on the floor. The water leakage was witnessed by a cleaning lady, who [Plaintiff] hired, *on June 7, 2021.* (Exhibit 4) [Plaintiff] also noticed a plastic liner covering the kitchen sink cabinet floor. First, [Plaintiff] thought that the defendants wanted to make the inside pretty. No, that was not the case. *[Defendants] were just hiding the water damages due to the leakage from the garbage disposal. [Plaintiff] immediately purchased both a new kitchen faucet and a new garbage disposal and hired a plumber to install them. Without these essential items, [Plaintiff] could not have rented the rental unit immediately.*

... [Plaintiff] saw black molds ... inside of the dishwasher. (Exhibit 5 and 6) [It is difficult to show the details of the photo. The photo was taken *on June 16, 2021 just a day before a new dishwasher's arrival.*

When [Plaintiff] started the dishwasher, within a minute, the soap bubbles and water started overflowing from the side edges and the bottom of the dishwasher; and, the soap bubbles and water rapidly covered the floor around the dishwasher. (Exhibit 7: p.1 and p.2) [the photo of *June 8, 2021*: it is difficult to show the water on the floor. ... [Plaintiff] immediately stopped the machine and opened the door. The inside of the dishwasher was filled with water and soap bubbles. (Exhibit 8) [The photo of *June 8, 2021*] By observing the dishwasher conditions, [Plaintiff] thought that the dishwasher was broken. ... *[Plaintiff] immediately wondered, if the dishwasher was broken, why the defendants did not tell the problem to [Plaintiff] (or Rosson). [Plaintiff] needed to order a new dishwasher. [Plaintiff] was in a panic and very distressed because the new tenant, who already signed the lease agreement, was ready to move in very soon.*

On June 7, 2021, [Plaintiff] emailed and stated (Exhibit 12: p.1): "Richard and I just discovered that there is significant water leakage at the bottom of the kitchen sink. Did you know there was a problem? Also, the faucet looks very bad. It looks like you put tape all around it. Water splashes all over. When did it become like that? Also, it seems that the dishwasher had not been used regularly..."

[Plaintiff] emailed three times to ask about the kitchen sink faucet and leakage. "This is the third mail." (Exhibit 12: p. 2) The defendants still did not reply. [Plaintiff] found a tape which the defendants put all around the faucet, and it was obvious that they knew that the water from the faucet splashed all over and they had tried to prevent the water from splashing.

In his email (*June 8, 2021*), Rosson listed three items that should have been mentioned by the defendant, Marc Kunze. On June 8, 2021, Rosson wrote (Exhibit 14: p.1 and p.2): *"We asked you to give us a list of things that needed to be repaired on May 14. This list*

was to include items that might require contractors to resolve as well as the purchase of parts. Marc walked me through his list of things. After you left, we discovered that a number of substantial issues had not been mentioned.”

On June 16, 2021, [Plaintiff] again requested them to answer four questions regarding seven damaged items. (Exh. 15: at p.1 *Email title: the damages in the rental unit*; see SAC and exhibits thereto at pp. 2-8 [italics added]; see also June 8, 2021 email from plaintiff (attached to SAC), stating that the kitchen faucet, garbage disposal, and dishwasher all need replacement [“Previous tenants were ‘very quiet’ about these problems. We only discover [sic] last Monday.”]; June 7, 2021 email from plaintiff to defendants (attached to SAC), stating: “Richard and I just discovered that there is significant water leakage at the bottom of the kitchen sink ... Also the faucet looks very bad. It looks like you put tape all around it Also it seems that the dishwasher had not been used regularly ...”); and Rosson’s June 8, 2021 email to defendants (attached to SAC), stating: “After you left we discovered that a number of substantial issues had not been mentioned. 1. The dishwasher is not working. 2. The disposer is broken. 3. The kitchen faucet is broken. We have replaced and installed the three items listed above.”

In sum, plaintiff’s own pleadings establish that almost immediately after defendants vacated the property on May 31, 2021, she and/or Rosson inspected the property and discovered several items of alleged property damage, apparently caused by defendants. Plaintiff promptly communicated her concerns about the alleged property damage to the defendants, and inquired as to why they had not disclosed this damage prior to moving out. Plaintiff expressly suggested that defendants had concealed some of the claimed property damage. Thus, by her own admissions, shortly after defendants vacated the unit on May 31, 2021, plaintiff had already discovered several items of alleged property damage, questioned defendants about the damage, and replaced several damaged appliances. Therefore, her negligence claim accrued at that time, which was still well over three years before plaintiff filed her initial complaint. Accordingly, the statute of limitations has run on the negligence claim. (Code Civ. Proc., § 338.) The fact that plaintiff may have later discovered *additional* property damage is irrelevant as to when the statute of limitations began to run.

The Demurrer is **SUSTAINED** as to the “neglect” cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

“Neglect” is not a recognized civil cause of action in California, and plaintiff cites no authority suggesting otherwise. Plaintiff appears to base this purported “cause of action” on defendant Marc Kunze’s failure to update his mailing address after he vacated the unit, and his failure to retrieve his Amazon packages that arrived at plaintiff’s property after Kunze moved out in May 2021. Even assuming this “cause of action” is mislabeled, these underlying facts do not appear sufficient to form the basis of any cognizable cause of action.

Finally, given the foregoing, the court need not address defendants’ uncertainty arguments. (Code Civ. Proc., § 430.10(f).)

C. Leave to amend

The demurrer is **SUSTAINED without leave to amend**. Leave to amend should generally be granted if there is a reasonable possibility that the defects in the pleading can be cured. But the burden lies with plaintiff to show how the SAC can be amended and how a proposed amendment would change the legal effect. (*Blank, supra*, 39 Cal.3d at p. 318 [“The burden of proving such reasonable possibility is squarely on the plaintiff.”].) Here, plaintiff has already amended the Complaint twice, and has not suggested any manner in which the SAC could be amended to state a viable cause of action against defendants. Because granting leave to amend appears futile, the demurrer is sustained without leave to amend.

However, if plaintiff seeks leave to amend, she should properly contest the tentative ruling and appear at the hearing (in person or via Zoom) to state facts that provide a reasonable possibility that she can state a cause of action as to the violations alleged.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendants’ counsel shall prepare a written order consistent with the court’s ruling for the court’s signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the “prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 6**

25-CLJ-02260

PORTFOLIO RECOVERY ASSOCIATES, LLC VS JUAN SEGURA GONZALEZ

PORTFOLIO RECOVERY ASSOCIATES, LLC
JUAN SEGURA GONZALEZ

DONALD SHERRILL
PRO PER

MOTION FOR ORDER THAT MATTERS IN REQUEST FOR ADMISSION OF TRUTH OF FACTS BE DEEMED ADMITTED

TENTATIVE RULING:

The unopposed motion is granted. The genuineness of any documents and the truth of any matters in plaintiff's Requests for Admission, Set One, are deemed admitted.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 7**

26-CIV-00580

BRANDON ELIOTT STACY AS EXECUTOR TO THE ESTATE OF MARIANNE STACEY
VS. CLEAR RECON CORP., ET AL

BRANDON ELIOTT STACY AS EXECUTOR TO THE ESTATE OF MARIANNE STACEY
CLEAR RECON CORP.

NEIL E. OPDAHL
FRED T. WINTERS

CLEAR RECON CORP'S DEMURRER TO COMPLAINT

TENTATIVE RULING:

The hearing is continued to November 18, 2026 at 2:00 p.m.

2:00 PM **LINE 8**

26-CIV-01031

JOSHUA WILSON, ET AL VS. ALON DESIGN AND REMODELING INC., ET AL

JOSHUA WILSON

PRO/PER

ALON DESIGN AND REMODELING INC.

MOTION TO STRIKE ANSWER OF DEFENDANT ELI ALON

TENTATIVE RULING:

Plaintiffs' Motion to Strike Answer of Defendant Eli Alon is **GRANTED**.

Defendant Ali Elon is ordered to file a verified answer to the complaint within ten (10) days of notice of entry of the formal order. (Code Civ. Proc., §§ 431.30, subd. (d); 446.)

On February 13, 2026, plaintiffs filed a verified complaint. On May 6, 2026, Elon answered the complaint. Elon's answer was not verified, and did not comply with Code of Civil Procedure, sections 431.30, subdivision (d) and 446, where he filed a general denial and an unverified answer. (*DeCamp v. First Kensington Corp.* (1978) 83 Cal.App.3d 268, 275.) Accordingly, the answer is defective and is ordered stricken. (*French v. Smith Booth Usher Co.* (1942) 56 Cal.App.2d 23, 29.)

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 9**

26-CIV-04156

THE BURKARD SCHOOL VS. JENNIFER STONE, ET AL

THE BURKARD SCHOOL
JENNIFER STONE

JEFFERY D. WOHL
PRO PER

PLAINTIFF THE BURKARD SCHOOL'S MOTION FOR ADMISSION PRO HAC VICE OF ALLISON M. LANGE GARRISON
AND AUSTIN J. SPILLANE

TENTATIVE RULING:

The unopposed applications of Allison M. Lange Garrison and Austin J. Spillane to appear pro hac vice on behalf of plaintiff are denied without prejudice. The verified applications do not state that the applicants are members in good standing of the courts of Minnesota as required by California Rules of Court, rule 9.40(d). In addition, counsel have not provided proof that the State Bar was given notice of the August 19, 2026, hearing date.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order *repeating verbatim the tentative ruling*" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 10**

26-UDL-00609

MALEK FAMILY REAL ESTATE LLC VS. PAUL THIEBAUT, III, ET AL

MALEK FAMILY REAL ESTATE LLC
PAUL THIEBAUT

LAURIE LI
DAVID CARDUCCI

MOTION TO VACATE ENTRY OF DEFAULT JUDGMENT UNDER CCP 473

TENTATIVE RULING:

The Motion to Vacate Entry of Default Judgment brought by Defendant Paul Thiebaut III is **GRANTED**.

In its Order Shortening Time, the court expressly stated that, “There shall be no reply brief.” (Order Shortening Time, at p. 2.) Defendant nonetheless filed a reply on August 11, 2026. Because the reply papers are in violation of the court’s order shortening time, they have not been considered. Further, without seeking leave of the court nor citing any authority that would permit it to do so, plaintiff then improperly filed a “sur-reply brief” with an accompanying declaration on August 12, 2026. The court struck the sur-reply at an ex parte hearing on August 17, 2026.

A. Background

Plaintiff owns a property at 1735 Woodland Avenue #11, East Palo Alto, California 94303. (Complaint, at p. 1, boxes 4 & 3.) Defendant signed a one-year lease of the Premises on or about October 29, 2009. (*Id.*, at p. 2, box 6.a.)

On May 14, 2026, plaintiff served defendant with a three-day notice to pay rent or quit (Notice), including an election of forfeiture, at which time \$1,640.79 in rent was due. (Complaint, at p. 2, box 9.a.(1), & p. 3, boxes 9.c-e, 10.a.(1), & 13, & exh. 2.) The Notice expired on May 19, 2026, by which date defendant had failed to comply.

Plaintiff requested and the Clerk entered a default in favor of plaintiff on June 25, 2026, with a Memorandum of Costs indicating “POSSESSION ONLY.” That same day, plaintiff requested a default judgment by the Clerk for Possession Only, which the Clerk also signed and entered that day. The resulting Writ of Possession issued on June 30, 2026.

On August 3, 2026, the court granted defendant’s ex parte application for an order shortening time, setting the hearing on the instant Motion and requiring that: “Plaintiff’s opposition papers, if any, shall be filed and served no later than August 12, 2026. There shall be no reply brief.” (Order Shortening Time, at p. 2.) Also on that date, the court issued an order staying the judgment entered in this matter through August 26, 2026, directing defendant to pay rent through that date in the amount of \$863.04. (Order, August 3, 2026.)

Defendant now asks the court to set aside the default and the default judgment, so that his case can be decided on its merits.

B. Mistake: Code of Civil Procedure, section 473, subdivision (b)

Defendant asserts that judgment was entered against him through mistake, excusable neglect, inadvertence, and surprise. (Code Civ. Proc., § 473, subd. (b).) He further asserts his diligence in seeking assistance and bringing the Motion upon learning of the judgment. (Thiebaut Decl., ¶¶ 16-17.) Defendant files a proposed Answer with the Motion. Defendant contends that plaintiff could not be prejudiced because it was aware even before having served the notice that defendant was working to obtain rental assistance; that he succeeded in doing so; and that plaintiff chose to reject the payment. In contrast, defendant argues he would be severely prejudiced if he were to lose his rent-stabilized home of twenty years without the opportunity for his defenses to be heard.

C. Evidence

Defendant has lived at the property for almost twenty years, always having paid his rent timely until experiencing financial hardship in May 2026 (Thiebaut Decl., ¶ 2), when the income from his teen/adult life-coaching business which contracts with public schools dipped at the end of the school year. (*Id.*, ¶¶ 3-4.) Defendant promptly informed the custodial manager of the property, George Carvalho, that he was applying for rental assistance with Samaritan House because he could not pay the rent for that month. (Thiebaut Decl., ¶ 4; Opp. at p. 3.) Mr. Carvalho handed defendant the Notice on May 6, 2026, and on May 12, 2026, Samaritan House informed defendant that his application had been approved for two months' rent. (Thiebaut Decl., ¶¶ 5-6, exh. 1.)

Defendant's evidence shows that Samaritan House offered plaintiff two months' rent, establishing a reasonable basis for his erroneous conviction that since plaintiff had been paid, the action would be moot. (See e.g., Thiebaut Decl., ¶¶ 8, 10-11, 7, & exh. 2). Defendant learned to his surprise that plaintiff had rejected the double-rent payment on June 22, 2025, and promptly followed up with several contacts to determine what the issue was. (*Id.*, ¶ 14.) The default and default judgment were entered three days later.

Mr. Carvalho is plaintiff's "authorized agent." (Carvalho Decl., ¶ 1.) He acknowledges that he "had conversations with Defendant regarding his attempts to secure rental assistance" (*id.*, ¶ 2), but denies that he provided defendant with legal advice regarding the notice or this lawsuit. (*Id.*, ¶¶ 2-4.)

D. Legal Standards

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a

reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. ...

(Code Civ. Proc., § 473, subd. (b).) Plaintiff's motion is timely; the default and the clerk's default judgment were entered on June 25, 2026.

"The purpose of this section is to enable courts to relieve a party from the consequences of enforcing the strict and technical rules of procedure, by applying such equitable rules in any individual case as will do justice between the litigants." (*Melde v. Reynolds* (1900) 129 Cal. 308, 312 (*Melde*).) Further, "[b]ecause the law favors disposing of cases on their merits, 'any doubts in applying section 473 must be resolved in favor of the party seeking relief from default'" (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 980, citations omitted.)

A "mistake" justifying relief may be either a mistake of fact or a mistake of law. "A mistake sufficient to vacate a dismissal may be found where a party, under some erroneous conviction, does an act he would not do but for the erroneous conviction." (*H.D. Arnaiz, Ltd. v. County of San Joaquin* (2002) 96 Cal.App.4th 1357, 1369, citation omitted.) "Inadvertence is lack of heedfulness or attentiveness, inattention, fault from negligence. Excusable neglect is that neglect which might have been the act of a reasonably prudent person under the same circumstances." (*Alderman v. Jacobs* (1954) 128 Cal.App.2d 273, 276, citation omitted.)

Finally, strong policies favoring adjudication on the merits. Accordingly, liberal construction of Code of Civil Procedure section 473, subdivision (b), favors granting the Motion:

the broad remedial provisions of Code of Civil Procedure section 473 "should be liberally applied and the power freely exercised to carry out the policy in favor of trial on the merits." Thus, in determining the merits of a Code of Civil Procedure section 473 motion, the court should take into account the circumstances of the case and the prejudice, if any, to the parties. There is also a strong policy behind granting relief if the moving party brings the motion for relief within the statutory time.

(*Carrasco v. Craft* (1985) 164 Cal.App.3d 796, 803, citations omitted.)

E. Mistake, and Inadvertence

Defendant's mistake was in believing that he did not have to respond to the lawsuit because, he believed, the rent that he owed plaintiff had been paid. (See e.g., Thiebaut Decl., ¶¶ 8, 10-11, 17, & exh. 2.) Under this erroneous conviction, defendant did not attempt to file his answer until he learned of the default and default judgment and consulted an attorney. (See *id.*, ¶¶ 15-17.)

Plaintiff asserts that defendant is not entitled to relief because his evidence is the hearsay statement by its agent, that plaintiff's agent told defendant not to respond to the lawsuit. However, this is not defendant's only evidence, and even if it were, it is admissible. "Evidence of a statement is not made inadmissible by the hearsay rule when offered against the declarant in an action to which he is a party in either his individual or representative capacity, regardless of

whether the statement was made in his individual or representative capacity.” (Evid. Code, § 1220.)

Plaintiff erroneously asserts that a reasonable person would not have disregarded the lawsuit in light of the summons, but the very existence of Code of Civil Procedure section 473, subdivision (b), shows that the Legislature contemplates the possibility that a reasonable person might do so on the basis of mistake, inadvertence, surprise, or excusable neglect. Plaintiff further asserts that “Defendant makes no attempt to explain why he failed to seek [legal] advice after being served with the Summons and Complaint” (Opp., at p. 4:14-15), but defendant has presented evidence supporting his erroneous conclusion that “now that the landlord had received the check, there was no need to move forward with the legal process to collect the unpaid rent.” (Thiebaut Decl., ¶ 12.)

Plaintiff further asserts that although rental assistance was issued on defendant’s behalf on the same day he was served with the summons, the notice period had expired so that plaintiff was not obliged “to accept rental assistance. In fact, doing so would have jeopardized this action.” (Opp., at p. 5:1-2.) That argument does not undercut defendant’s argument regarding mistake under Code of Civil Procedure, section 473, subdivision (b).

Rather, because defendant ensured that plaintiff received not only the rent due but that for the following month as well, it is understandable that he believed that the lawsuit had been rendered moot, and that he did not have to respond.

Finally, granting the motion would not prejudice plaintiff, which simply would be required to present its case at trial. Plaintiff has not offered evidence of prejudice.

For all of these reasons, defendant has shown mistake under Code of Civil Procedure, section 473, subdivision (b), and has met the other requirements of the statute.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendant’s counsel shall prepare a written order consistent with the court’s ruling for the court’s signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the “prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 11**

26-UDL-00913 TODD WRIGHT VS. SARA ADAMS, PHD

TODD WRIGHT
SARA ADAMS

TIMOTHY S. O'HARA
PRO PER

DEMURRER TO COMPLAINT; AND, IN THE ALTERNATIVE, MOTION TO QUASH SERVICE OF SUMMONS

TENTATIVE RULING:

The case was dismissed; the hearing is vacated.

POSTED: 3:00 PM